

KLEIN PROP FIRM RULES GUIDE

How to Trade Without Losing Your Account

This guide explains the official rules Klein sets for funded account challenges and how they affect your trading. It *translates real Klein parameters* into practical language so you can trade *within the rules* and avoid automatic failure.

1. What Klein Funding Is

Klein Funding is a **crypto-focused prop trading firm** that offers funded accounts and challenges.

Traders must hit profit targets and stay within drawdown limits to keep a funded account.

Klein is partnered with **Bybit**, and traders execute on real markets through that exchange.

2. Profit Targets

To pass a challenge and earn a funded account, you must reach the **profit target** specified for your account level.

Typical profit target on most our plans will be **around 6% to 10%** of the initial account balance.

Example:

If your account is \$100,000, you must reach approximately **\$6,000 to 10,000 profit** to pass.

3. Max Total Drawdown (Overall Drawdown)

This is the *maximum loss allowed overall* on your funded challenge account.

If your account balance ever goes below this level at any time, your challenge fails.

Examples from Klein's published parameters:

- ♦ Most plans use an overall drawdown of **6%** of the starting balance.

So on a \$100,000 account:

6% drawdown = \$6,000 loss cap

If your balance ever hits \$94,000 or below, your challenge fails.

This drawdown is usually **static**, meaning it doesn't change even if you make profits.

4. Daily Drawdown Rule

Most Klein plans include a **daily loss limit** in addition to total drawdown.

For many standard challenges:

- ♦ **Daily drawdown = 3% of starting balance**

On a \$100,000 account that would be **\$3,000 daily loss cap**.

If you lose more than that overall in a single trading day, the challenge fails.

Important: **This loss includes both closed and unrealized losses** at any point in the day (equity-based).

5. Leverage and Trading Conditions

Klein's challenges typically allow leverage up to **1:100** on Bybit.

This means you can open exposures up to 100x your margin, but higher leverage increases liquidation risk.

You *must trade within the risk settings* you choose. Excessive leverage relative to stop losses increases drawdown fast.

6. Allowed and Disallowed Trading Practices

Based on Klein's official trading rules and publicly noted policies:

Allowed

- USDT Perpetual trading via the Bybit platform
- Trading any of 700+ USDT perpetual pairs offered
- News trading (no restrictions on trading around news)
- Holding positions overnight or through weekends

Not Allowed

(violations may lead to failure)

- Copy trading or shared accounts
- EAs or automated systems
- High-frequency arbitrage or exploitative algorithms
- Scalping trades faster than certain thresholds (alert varies)
- Demo price or artificial pricing usage
- Any behavior the firm considers an exploit or unfair advantage

These rules are intended to protect capital, avoid unintended exposure, and ensure fair conditions.

7. Reward Structure

Klein offers a **profit split** to funded traders.

Depending on your challenge tier, you can keep **40% up to 100% of profits** after passing.

Profits and payouts follow their documentation, and payout requests are typically allowed once profit targets are met and stability criteria are satisfied.

8. No Minimum Trading Days

Many Klein plans do **not require a minimum number of trading days** to qualify, meaning you can pass even if you hit your target quickly, as long as all rules are followed.

9. Interpretation and What Actually Causes Failure

Klein considers any of the following as automatic failure:

- Balance hitting the **max total drawdown limit**
- Exceeding the **daily loss limit**
- Using disallowed automated or exploit strategies
- Breaking any listed trading restriction

Even a *single breach* of a drawdown rule at any time results in failing the funded challenge.

10. Summary Table (Official Parameters)

Rule	What It Means	Typical Value
Profit Target	% gain to pass challenge	~6% of initial balance
Max Total Drawdown	Max loss <i>overall</i> before failure	~6% of account
Daily Drawdown	Max <i>one-day</i> loss before failure	~3% of account
Leverage	Maximum allowed	Up to 1:100
Allowed Trading	News, holds, multiple pairs	Yes, allowed
Disallowed	EAs, bots, shared accounts, certain scalping	Not allowed
Profit Split	% you keep after passing	40%–100%

11. How to Use This in Your Trading

- 1. Always calculate drawdown before trading**
Know exactly how much equity you can lose today and overall.
 - 2. Never risk more than your risk budget**
Larger positions near limits can trigger failures.
 - 3. Follow the trading rules**
Avoid automation, shared strategies, or prohibited techniques.
 - 4. Monitor equity and daily loss continuously**
Drawdown rules count unrealized PnL too.
 - 5. Check official Klein docs** regularly
Policies can update; always trade with the most recent rules.
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13. Why This Matters

Rules are not suggestions.

They determine whether you **keep or lose** your funded account.

Trading *within* them is more important than strategy.

Strategy can make money, but rules keep you in the game.